v. Hasty Decisions

Sole proprietor is more likely to take hasty decision as he need not consult anybody else.

Key Terms

Business Organisation
Sole Proprietorship
Unlimited Liability
Managerial Skill
Legal Entity
Credit Standing



For Own Thinking

i. How to start a snacks manufacturing unit at home?
ii. Dried Fish – Trading Explain.
iii. Individual – Independent software companies run by New graduates



Case Study

Rajendran has done his B.Com., this year. He wants to do some good business now. Kesavan, his father, is a Sole-proprietor of a small Banian-manufacturing plant in Salem and ask Rajendran to join business with him as a partner. However, Rajendran likes to go in for an independent venture. A discussion follows between them on this issue. Meanwhile Mr.Arul, an advocate and friend of Rajendran's father, comes there and gives comments on both of them. Assume the role of Rajendran, Kesavan and Arul and state and defend your positions.



For Future Learning

a. Mahesh is a young graduate who has inherited a sum of ₹1,00,000 by way of family savings. He also has a family house to which he has sole title as the only son of his father. He is thinking of starting a small factory for the manufacture of plastic toys. What form of ownership organisation will you advise him to choose?
b. Amar started a business on his own. He has his father helping him with the accounts and his brother helps him with looking after customers in the evening. Amar pays a monthly salary to his father and brother. Identify the form of business organisation.

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Exercise

I. Choose the Correct Answer

1. Which is the oldest form of Business organisation?

a. Sole Proprietorship
b. Partnership
c. Co-operative Society
d. Company

2. In which form the owner, establisher and manager is only one?

a. Joint Enterprise
b. Government Company
c. Co-operative Society
d. Sole Proprietor

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